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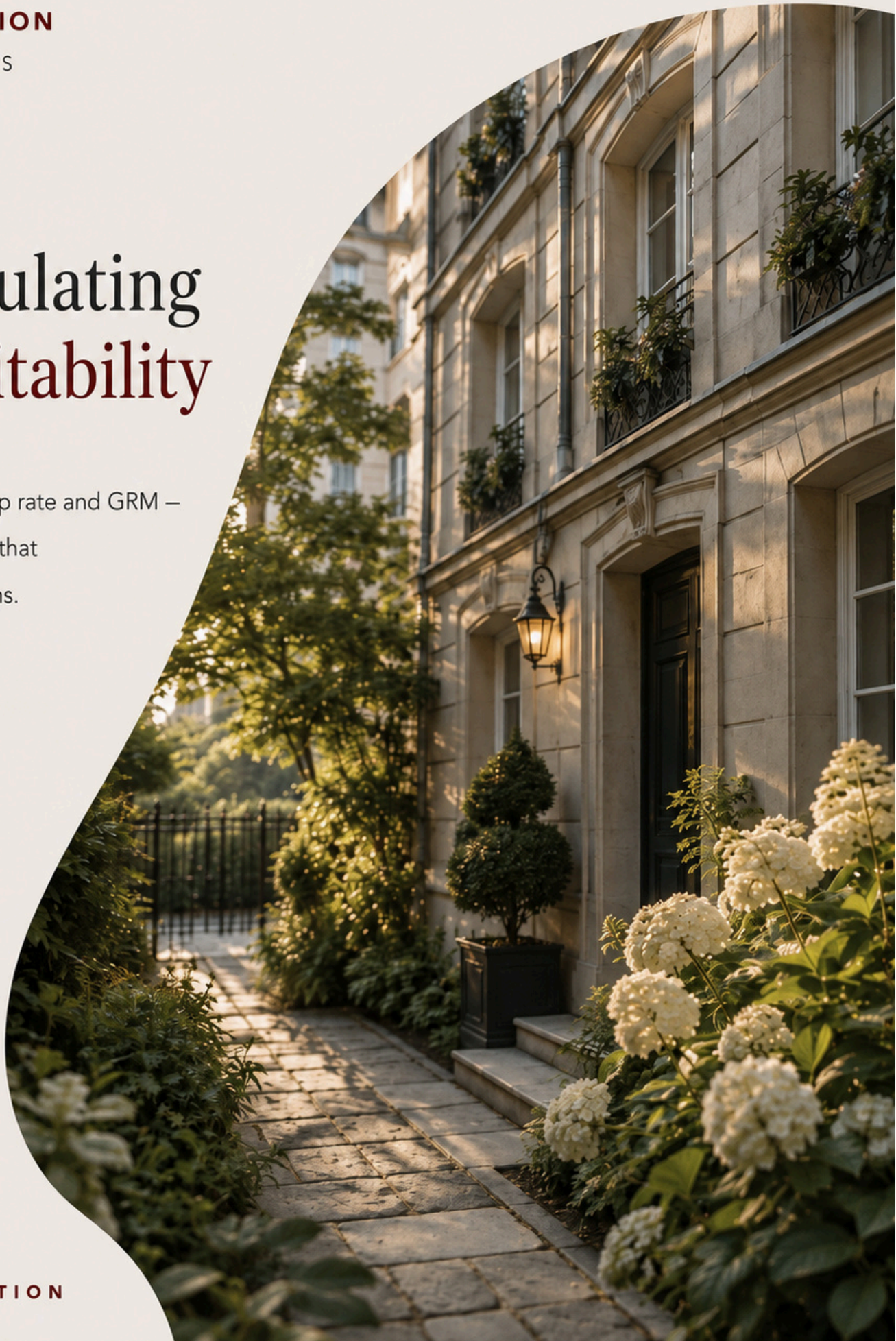
N° 27

COLLECTION

INVESTORS

Calculating Profitability

Cash flow, cap rate and GRM — the numbers that drive decisions.



2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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COLLECTION INVESTORS · GUIDE NO. 27

Calculating Rental Profitability

Cash flow, cap rate and GRM — the numbers that drive the decision

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In rental real estate, profitability cannot be guessed: it can be calculated. Three simple indicators - cash flow, cap rate and gross revenue multiplier (MRB) - tell you in minutes whether a building is worth an offer.

This guide explains each calculation, with clear examples, to compare buildings objectively.

Each chapter ends with a lined “My Notes” page to calculate YOUR own numbers.

The profitability of a building can be calculated, it cannot be guessed. This guide dissects the key indicators - RNE, cashflow, capitalization rate, MRB, return on capital investment - and especially their limits, to decide on the facts.

The key message: no ratio says everything; it is their combination, crossed with the condition of the building, which informs the decision.

CHAPTER

Net operating income (RNE)

> *Calculate what the building generates before financing.*

The net operating income (RNE) is the basis of everything: rental income (less vacancy) less operating expenses (taxes, insurance, maintenance, management, energy of the commons) - BUT before mortgage payments.

Example: rents $36,000/year – 5% vacancy ($1,800) = $34,200; expenses $12,000; NOI = $22,200.

ROI (revenue less operating expenses, before financing) is the basic measure of a building's performance. It allows buildings to be compared with each other without being distorted by the financing method of each. A solid ROI is the foundation of any good investment.

> EMILIE'S ADVICE
>
> *Never confuse gross rents and RNE. A building with high rents but high expenses can generate less RNE than a more modest and efficient building.*

CHAPTER

The cash flow

> *Know what's really left in your pockets.*

Cash flow is the RNE minus mortgage payments (capital + interest). This is the money left over each year after paying EVERYTHING. Positive cash flow is generally the goal; a negative cash flow means that you are financing the building out of your own pocket.

Example: RNE $22,200 – mortgage $18,000/year = cash flow of $4,200/year.

Cash flow is the RNE minus mortgage payments: the real money that remains (or is missing) each month. Negative cash flow means that you are financing the building out of your own pocket. Aim for at least balance, with room for unforeseen events and vacancy.

> EMILIE'S ADVICE
>
> *A slightly positive or neutral cash flow may be acceptable if the building increases in value and the tenant repays your capital. But a big negative cash flow is a risk, especially if rates rise.*

CHAPTER

The capitalization rate (cap rate)

> *Compare buildings regardless of financing.*

The capitalization rate = RNE ÷ purchase price, expressed as a percentage. It measures the performance of the building before financing, which allows buildings to be compared to each other and to their sector.

Example: RNE $22,200 ÷ price $400,000 = 5.55% cap rate. A higher cap rate means (all things equal) a better return - but sometimes more risk or a less popular sector.

The capitalization rate (RNE ÷ price) makes it possible to compare buildings independently of financing, as a “yield” of the building. A higher cap rate can signal better returns... or higher risk. Always compare similar buildings, in similar areas.

> EMILIE'S ADVICE
>
> *Always compare the cap rate of a building to those in the same sector. An abnormally high cap rate often hides something: bad neighborhood, major work ahead, or unsustainable rents.*

CHAPTER

The MRB and the limits of ratios

> *Use a quick reference and know its limits.*

The gross revenue multiplier (MRB) = purchase price ÷ annual gross revenue. This is a QUICK benchmark for comparison (a lower MRB is generally more attractive), but crude because it ignores expenses.

- MRB: good for a quick first sort, not for deciding.
- Cap rate and cash flow: more reliable because they take into account expenses (and financing for cash flow).
- Always validate with actual figures before bidding.

The MRB (price ÷ gross revenues) is a quick but crude benchmark: it ignores expenses. Use it for a first sorting, never to decide. Ratios are tools, not verdicts: always cross-reference them with actual figures and the condition of the building.

> EMILIE'S ADVICE
>
> *Use the MRB for an initial sorting, never for a final decision. Two buildings at the same MRB can be very different once actual expenses are included.*

CHAPTER

Return on investment and leverage

> *Measure what your invested money brings back.*

Beyond the classic ratios, one figure speaks directly to the investor: the **return on investment** (cash-on-cash) - the annual cash flow compared to the money actually invested.

This is where the**leverage** : by financing part of the price, you invest less out of your pocket to control a larger asset.

- The lever **amplifies** the return... but also the risk.
- Negative cash flow turns leverage into a burden.

Return on investment (cash-on-cash) measures what YOUR invested money earns. This is where the leverage effect comes in: financing part of the price amplifies the return... but also the risk. Negative cash flow turns leverage into a burden: always keep a margin.

> EMILIE'S ADVICE
>
> *Leverage is a double-edged sword: it inflates your returns when everything is going well, but amplifies losses if cash flow becomes negative. Always keep a margin to absorb a bad year.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Gather actual rents and expenses for the building in question.
2. Calculate the RNE.

Within 30 days

1. Calculate cashflow, cap rate and MRB.
2. Compare to buildings and sector cap rate.

Then

1. Decide to offer according to validated figures, with Emilie.

To analyze a building

1. Calculate RNE, cashflow and return on investment from actual figures.
2. Test a rate increase and a vacancy to check my margin.

REFERENCES

Resources & glossary

- RNE: net operating income, revenues less expenses, before financing.
- Cashflow: RNE minus mortgage payments.
- Cap rate: RNE ÷ purchase price, return before financing.
- MRB: price ÷ gross revenue, quick benchmark for comparison.
- Vacancy: percentage of lost rent to be expected in the calculations.
- RNE: revenue less operating expenses, before financing.
- Cashflow: RNE minus mortgage payments.
- Capitalization rate: RNE ÷ price, to compare buildings.
- MRB: price ÷ gross revenues, quick and dirty benchmark.
- Leverage effect: use of financing which amplifies return and risk.

GO FURTHER

Quiz - test yourself

1. The RNE is calculated:

A) After the mortgage

B) Before mortgage payments

C) Without expenses

D) On price alone

2. The cash flow is:

A) The RNE minus the mortgage

B) Gross rents

C) The purchase price

D) The down payment

3. Negative cash flow means:

A) A gain

B) That you finance the building out of your own pocket

C) Nothing

D) An exemption

4. The cap rate is:

A) RNE ÷ purchase price

B) Price ÷ rents

C) Rent – expenses

D) Down payment ÷ price

5. An abnormally high cap rate can hide:

A) A sure windfall

B) A bad neighborhood or major work ahead

C) Nothing

D) A gift

6. The MRB is:

A) Price ÷ gross revenue

B) RNE ÷ price

C) Annual cash flow

D) The interest rate

7. The MRB is mainly used to:

A) Decide alone

B) A first quick sort

C) Calculate tax

D) Fix the rent

8. To decide, we mainly rely on:

A) At the MRB alone

B) At real cap rate and cash flow

C) Appearance

D) Random

Answers

1. B - Income less expenses, before financing (chap. 1).

2. A - What remains after all to pay (chap. 2).

3. B - Expenses exceed net income (chap. 2).

4. A - Return before financing (chap. 3).

5. B - Compare to the sector (chap. 3).

6. A - A quick reference (chap. 4).

7. B - He ignores expenses (chap. 4).

8. B - They include expenses (chap. 4).

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You now have the right keys in hand.

Every real estate journey is different.

If you would like to go further,
I would be happy to discuss
your project with you.



Make informed decisions.
Choose with confidence.
Live without regrets.
See you soon,
Emilie ☺

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